BOOKKEEPING AND TRANSACTION PROCESSING SAMPLE

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Company: Northstar Creative Services LLC

Reporting Period: September 2026

Software: QuickBooks Online

Currency: USD

Accounting Basis: Accrual Basis

Project Objective

The objective of this project is to demonstrate practical bookkeeping and transaction processing skills using QuickBooks Online for a fictional US based service business.

The project covers the recording and classification of routine business transactions, including customer invoices and receipts, supplier bills and payments, operating expenses, loan repayments, accruals, and depreciation. It also demonstrates the application of appropriate accounting treatments to maintain accurate general ledger records and support month end financial reporting.

Company Background

Northstar Creative Services LLC is a fictional Texas based service business created solely for this accounting portfolio. The company provides marketing, design, and reporting services to small business clients.

The business operates on an accrual accounting basis and maintains its accounting records in US dollars. All company names, customers, vendors, transactions, and financial amounts used in this project are fictional and were created for demonstration purposes.

Software Used

QuickBooks Online was used to:

- Set up and maintain the chart of accounts
- Record customer invoices and payments
- Record supplier bills and payments
- Process operating expenses
- Maintain accounts receivable and accounts payable
- Record loan principal and interest correctly
- Post month end adjusting journal entries
- Maintain general ledger records for financial reporting

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Scope of Work

The bookkeeping activities completed for September 2026 included:

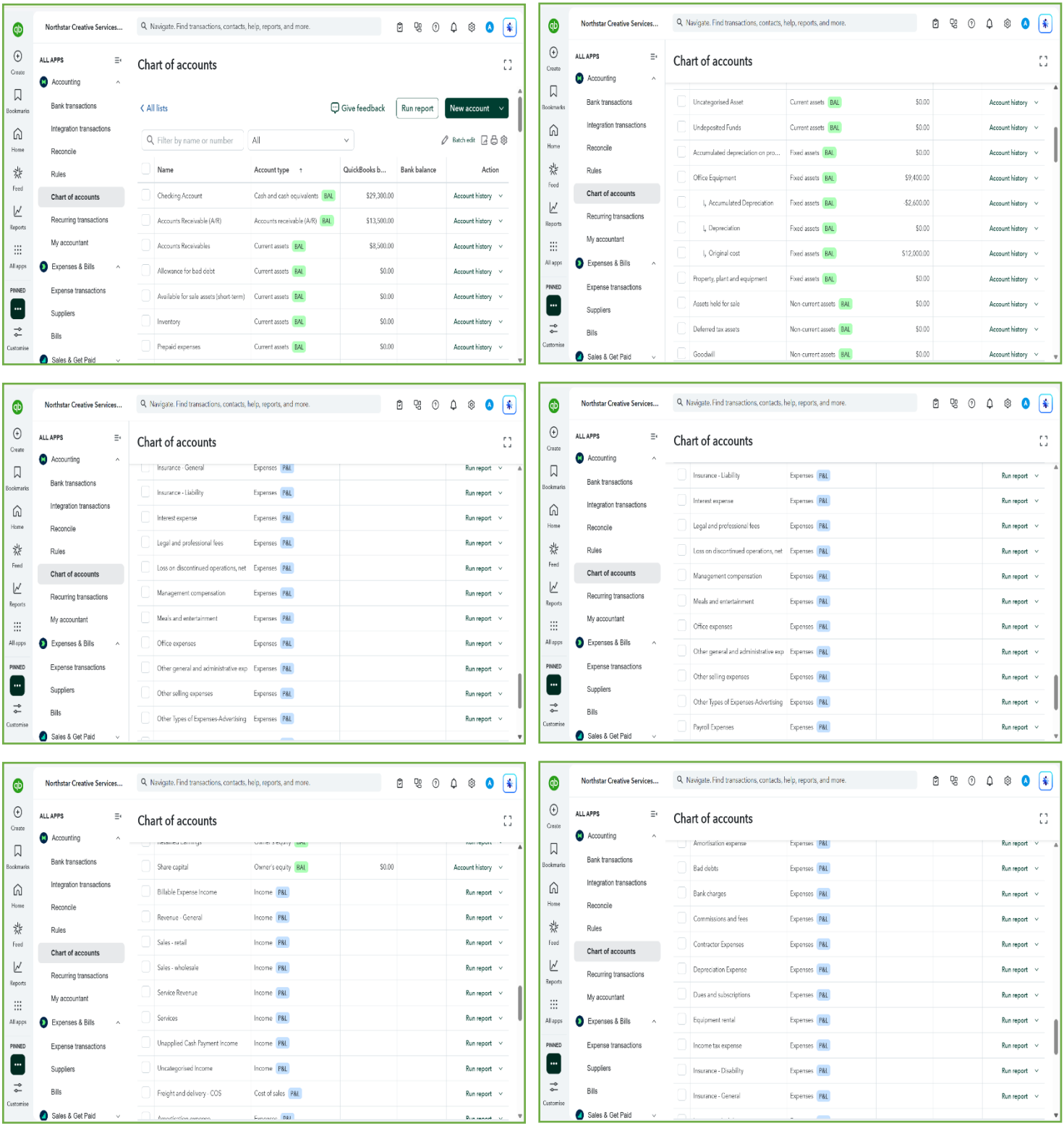
• Set up the company's chart of accounts and opening balances
• Created customer and vendor records
• Recorded service invoices totaling **$25,500**
• Recorded customer receipts and applied them against outstanding invoices
• Entered supplier bills and processed supplier payments
• Recorded rent, software, office supplies, utilities, travel, payroll related costs, and other operating expenses
• Separated the principal and interest components of a business loan payment
• Recorded month end depreciation
• Recorded an accrued professional service expense
• Reviewed transaction classifications and supporting general ledger balances

Key Accounting Treatments

- **Revenue and Accounts Receivable**: Service revenue was recognized when services were invoiced. Customer invoices increased Accounts Receivable and Service Revenue. Subsequent customer payments were applied against the outstanding invoices, reducing Accounts Receivable rather than creating additional revenue.
- **Accounts Payable**: Supplier bills were recorded when expenses were incurred but remained unpaid. Payments made to suppliers reduced the related Accounts Payable balance.
- **Operating Expenses**: Business expenses such as rent, software subscriptions, office supplies, utilities, travel, and payroll related costs were classified to their appropriate expense accounts based on the nature of each transaction.
- **Loan Repayment**: The **$900 loan payment** was separated between **$800 principal** and **$100 interest**. The principal reduced the Business Loan liability, while the interest was recognized as Interest Expense.
- **Depreciation**: Monthly depreciation of **$200** was recorded by debiting Depreciation Expense and crediting Accumulated Depreciation. This recognizes the period's use of the company's fixed assets without reducing the original asset cost.
- **Professional Fee Accrual**: A **$750 professional service expense** incurred in September but not yet invoiced was recognized at month end. Professional Fees Expense was debited and Accrued Expenses Payable was credited, ensuring the expense was recognized in the period in which the service was received.

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Figure 1: Chart of Accounts Setup- Structured chart of accounts for Northstar Creative Services LLC, including assets, liabilities, equity, revenue, and expense accounts used for transaction classification and financial reporting.



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Figure 2: Customer Invoice Processing- Service invoice recorded to recognize revenue and the related customer receivable under accrual accounting.

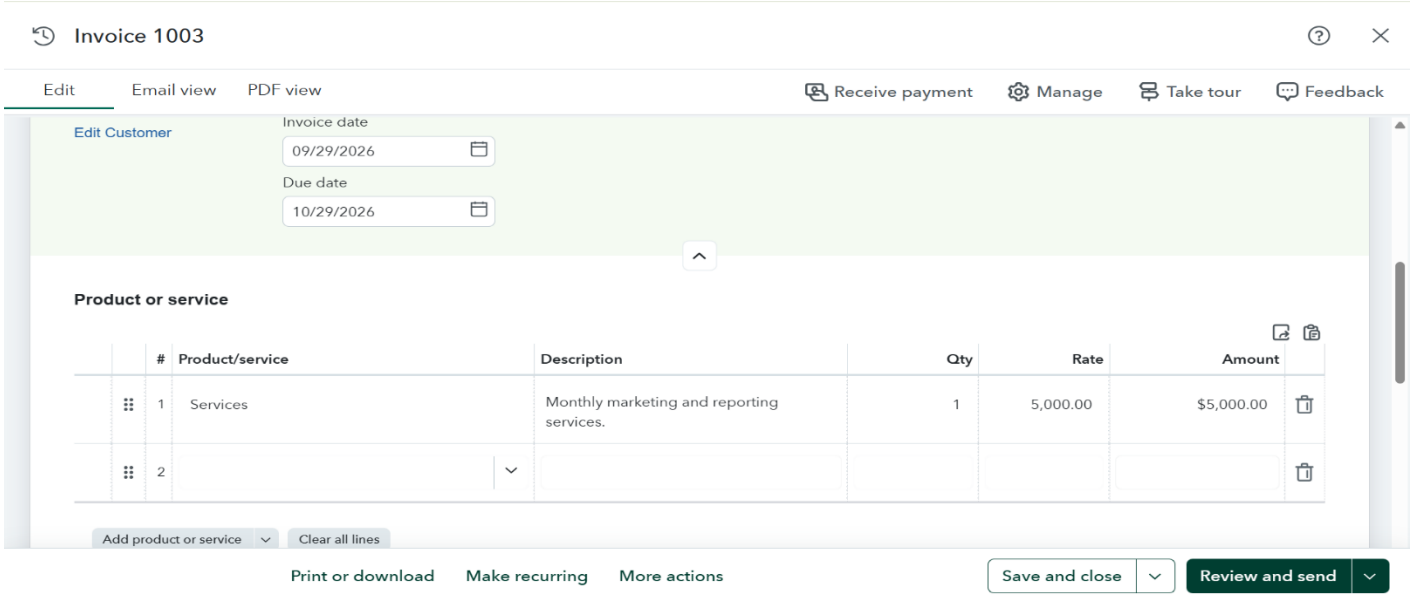


Figure 3: Supplier Bill Processing- Supplier bill recorded to recognize the expense and corresponding Accounts Payable liability before payment.

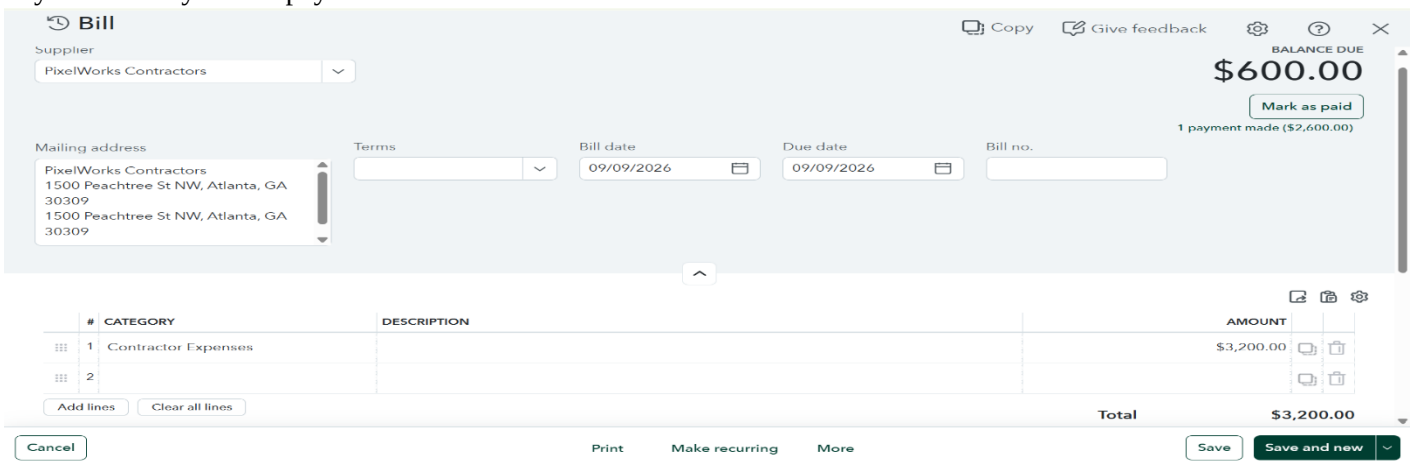
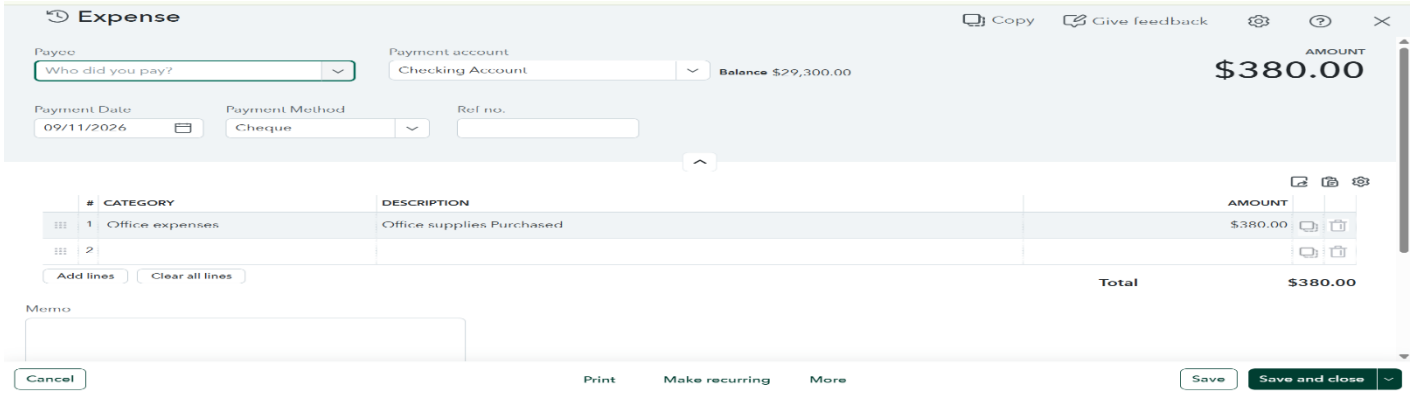


Figure 4: Operating Expense Recording- Business expense recorded to the appropriate general ledger account with the related reduction in the checking account.



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Figure 5: Month End Adjusting Journal Entry- Month end adjustment recorded to recognize depreciation expense and accumulated depreciation for the reporting period.

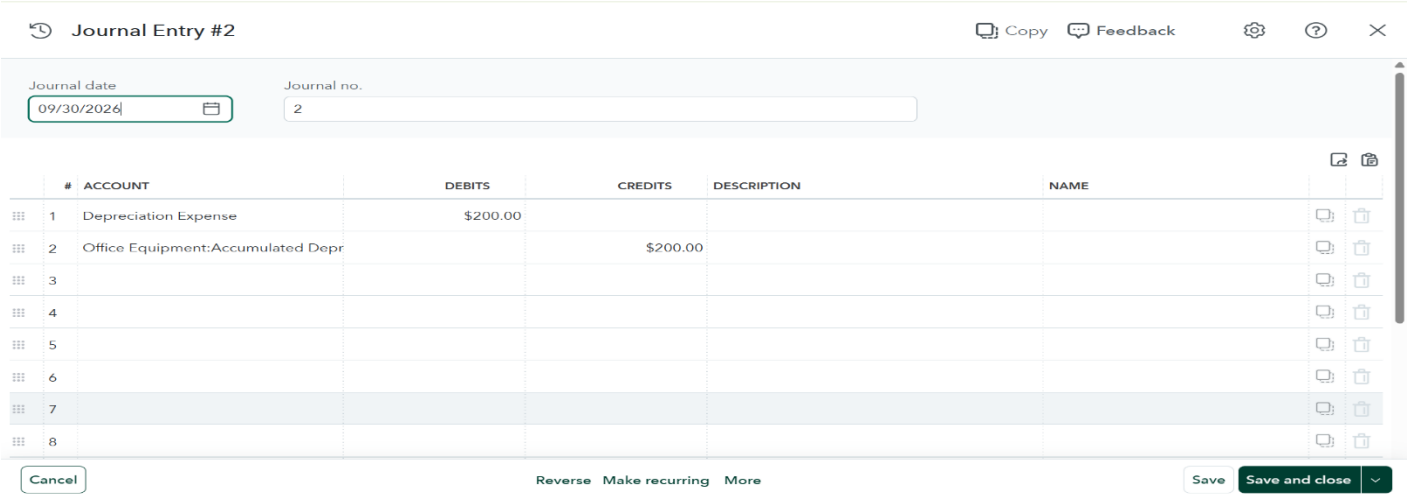


Figure 6: Customer Transaction Activity- Customer transaction history showing invoices, payments, and outstanding balances used to support Accounts Receivable monitoring.

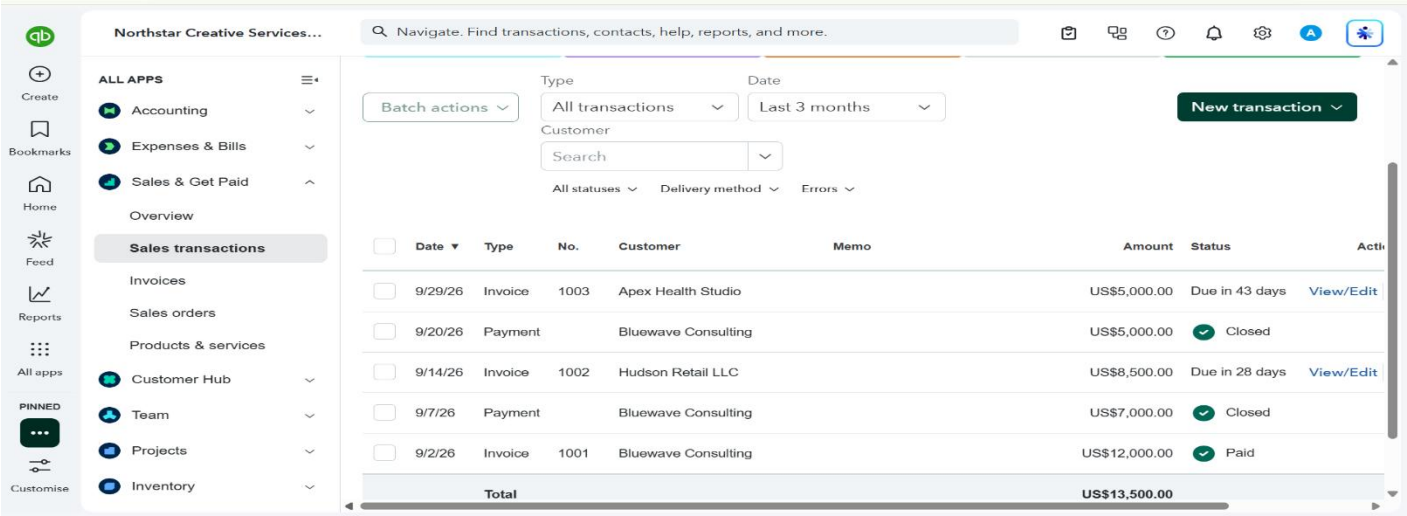
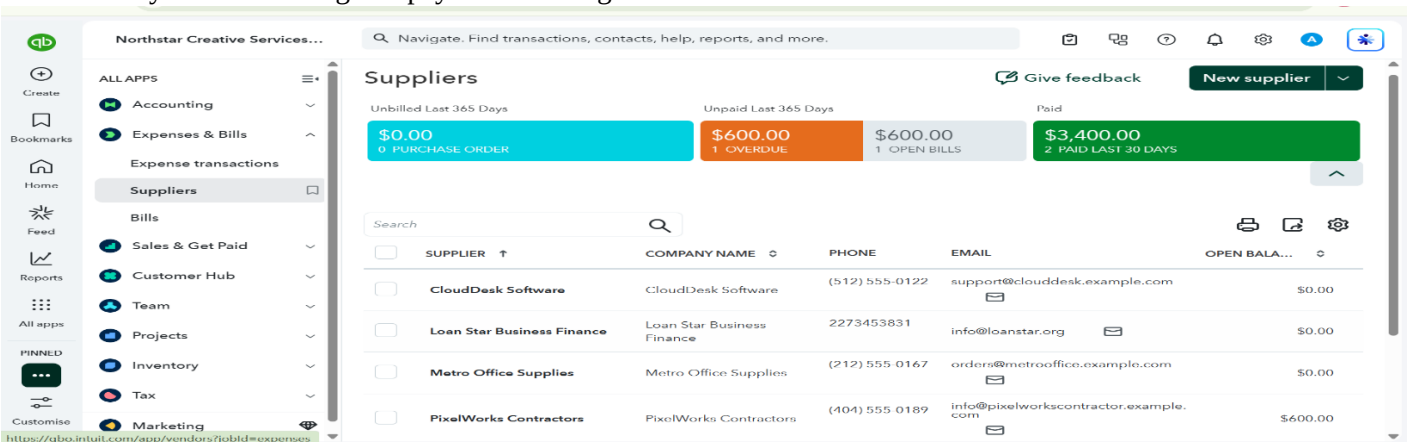


Figure 7: Supplier Transaction Activity- Supplier transaction history showing bills and payments used to support Accounts Payable monitoring and payment tracking.



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